



ASML

Final word on '27, '28 has not been said. Co. can raise estimates again. Reiterate OW rating.

Investors are trading ASML as if it is 2025 or before, when ASML gave order guidance. The guidance from the co. over the last 2 quarters has indicated that the co. is not giving the sort of guidance it gave in the past, when full year guidance was always met and not beaten but the momentum was provided by the orders. Now, the company is raising guidance every quarter to provide momentum. Thus, there is every reason to believe that the FY27 guidance will be raised in the current market environment. In fact, the co. itself indicated in the conference call that the EUV capacity guidance in '27 was not a ceiling. Based on the demand trends and the capacity guidance from the co., the stock is now trading as if the industry is going into a downturn when there are no such indications in the market. ASML remains our top pick in our space, we remain OW and the stock is on the AFL.

- Market needs to recognize that the way ASML guides has changed. There is every likelihood that the company will raise FY27 capacity indications again:** ASML's FY26 guidance and indications of EUV and Immersion DUV capacity in FY27, FY28 were strong. The only datapoint that was not as strong as the market would have liked was EUV capacity in FY27 where the co. has indicated 85 tools. Since ASML stopped reporting orders, they have raised guidance every quarter. In the absence of orders, the philosophy has shifted to raising guidance every quarter. On the conference call, they in fact said *'at this stage, given the conversations we have, the 85 is a nice representation of the balance between what customers are asking of us and what, at this stage, we've been asking ourselves in the supply chain to do. But if more is needed, you know, just as we've done it in the past couple of quarters, we're going to roll up our sleeves and see if more can be done.'* - thus the 85 EUV tools is **not** a ceiling. Thus, we do not see the guidance as negative and expect very large consensus upgrades on this print. JPMorgan estimates for '27/'28 were 26.5%/23.8% ahead of consensus ahead of this print and we would expect that consensus should move to where we were or potentially ahead (JPMe goes ahead of our pre-report estimates as indicated below).
- ASML is trading as if the end-market is in a downturn:** ASML's inter-quartile P/E range is 23x to 29.8x on Y+2 EPS. The stock is currently trading at 21.9x our '28 EPS, so below the lower bound of the inter-quartile range, when there is no down-cycle in sight. We expect that even if the consensus does not move to JPMe '28 EPS of €70.7, it will move substantially higher than the current Y+2 consensus of €49.9. So the stock is going to look really cheap when the upgrades come through over the next week. Market is understandably skittish about semis given the stellar sector performance in Q2; however, in our opinion, ASML will out-perform semis in Q3 given the earnings upgrades that are likely post this print.
- Raising our estimates and PT to €2,100.** We are raising our estimates driven by higher company guidance, indications of strong capacity expansion plans and an inflection in gross margin. Our FY26 and FY28 revenue estimates are 13% and 6% higher than before while we have lowered our FY27 revenue estimates by 1% in line with ASML's capacity indications for EUV and immersion. This drives our EPS estimates 26%/1%/10% higher for FY26/FY27/FY28 and thus our Jun-28 PT based on 29.6x our FY28 EPS estimates is now €2,100 (previously €1,900).

Overweight

ASML.AS, ASML NA

Price (15 Jul 26): €1,544.00

▲ **Price Target (Jun-28): €2,100.00**
Prior (Jun-28): €1,900.00

Overweight

ASML, ASML US

Price (15 Jul 26): \$1,815.27

▲ **Price Target (Jun-28): \$2,400.00**
Prior (Jun-28): \$2,200.00

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Our Takeaways

Bullish tone and raise in the guidance is a function of a strong setup

ASML has indicated that aggressive capacity adds in leading edge nodes (including 5nm and below as well as 1b and 1c in memory) has taken capex higher in both logic and DRAM. Long term agreements (LTAs) at customers provide more visibility, which increases customer confidence to spend capex and add capacity. Besides the capacity the needed, ASML also commented on higher litho intensity with increasing number of immersion and EUV layers in memory. Customers are believed to continue to add more capacity in FY27 and FY28.

Indicated capacity is not a hard ceiling and the focus should be on revenue capacity rather than number of boxes

ASML has indicated capacity for 65 EUV tools this year, 85 in 2027 and 110 in 2028. Interestingly, on the call they were not willing to say that 85 was peak 2027 capacity. ASML has indicated that 85 tools for 2027 is a good representation of customer needs and capabilities at this time of this report, but this could evolve. Messaging has changed with the company willing to comment on capacity increases, signaling strong demand.

Importantly, while the number of tools capacity is indicated to increase 30% YoY in 2027 and 2028, the revenue growth potential from this is meaningfully higher as higher productivity and ASP per tool need to be factored in. ASML has indicated that the impact from higher productivity tools in the mix would be equivalent to another 10% increase in capacity and thus if revenue capture is to be proportional to capacity provided to the customer, it is thus implied is that EUV revenue growth should be theoretically equivalent to 45% YoY.

More favorable pricing environment

The co. gave a new msg - they see potential to use the current short-supplied market to make pricing changes that they would not be able to do in a normal market. That change will take time, but the co. plans to continue to implement value-based pricing, which will enable it to raise prices on next-generation tools as customers are capturing significantly more value in the current environment. On the F tool in particular, we see much more potential for the company to change the pricing dynamic.

Gross margin indications were also positive

On the much stronger than expected gross margin guidance for the year the company said this was driven by 1) more EUV and immersion 2) better priced EUV tools (D tools fading out and F tools coming in later) 3) IBM revenue higher and with a better mix – both upgrades and higher EUV services revenue 4) higher volume (fixed cost coverage). ASML indicated that these factors will remain in FY27 and beyond, though they did not specifically guide FY27 margins. Thus 2H26 sees an inflection point in ASML gross margins

Adjusting estimates

We are adjusting our estimates following the 2Q26 print and the company's indications on FY26 and beyond. For 3Q26, ASML has guided for revenue of €11.5bn at the midpoint, gross profit margin of 56% at the midpoint and Opex at €1.6bn. For FY26,

ASML has raised its revenue guidance to €44bn at the midpoint (€43 to €45bn). In terms of capacity, ASML has guided for EUV and immersion capacity to ramp 30% in FY27 and FY28 which implies EUV capacity for ~85/110 tools and immersion capacity for ~169/210 tools in FY27/FY28. We highlight that EUV tools shipped will have higher throughput in aggregate and thus revenue increase for EUV and immersion will be higher than 30% YoY, supported by higher ASPs. ASML has guided for DUV + metrology & inspection to grow 25% in FY26 and IBM strength should continue in Q3 (~€2.9bn guided in revenue) and Q4. ASML has indicated EUV is close to fully booked for FY27 and the co. has strong orders for FY28 which is why it is planning to outlay the indicated higher capacity in that year. Higher ASPs, strength in IBM business and higher volume should support continued margin expansion. Specifically the changes we have made are:

- On Revenue, we are raising our FY26 estimates by 13% to reflect the company's guidance of €44bn revenue at the midpoint. For FY27, our revenue estimate is 1% below our previous estimate given the company's indication of ~85 EUV capacity next year (which we take to not be a ceiling) and ~170 immersion tools which is below our previous number but partially offset by higher ASP estimates. For FY28, our revenue estimates is 6% higher than previously given the strength of customer capacity expansion plans;
- On Gross Profit, our FY26/FY27/FY28 estimates are 20%/3%/10% higher than previously driven by higher revenue estimates (except for FY27) and better profitability from i) more EUV and immersion tools ii) better priced EUV tools with mix including more F units over time iii) higher volume (fixed cost coverage);
- On EBIT, our FY26/FY27/FY28 estimates are 27%/1%/11% higher than previously driven by higher gross profit estimates and disciplined opex driven by higher SG&A and R&D team efficiency;
- Overall, our EPS estimates for FY26/FY27/FY28 are 26%/1%/10% higher than previously.

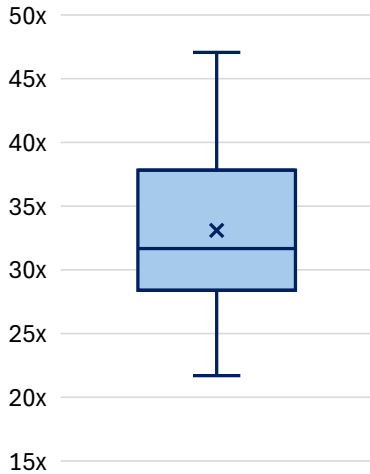
Table 1: ASML - Changes to estimates

	3Q26 new	3Q26 old	% diff	2026 new	2026 old	% diff	2027 new	2027 old	% diff	2028 new	2028 old	% diff
EUV units shipments, new	17	15	13%	64	61	5%	86	90	-4%	106	105	1%
Immersion units shipments, new	38	40	-5%	131	127	3%	170	200	-15%	211	210	0%
Dry unit shipments, new	71	50	42%	284	198	43%	340	343	-1%	377	355	6%
Total tool shipments, units	127	106	20%	484	390	24%	602	633	-5%	704	680	4%
Total tool shipping value	8,739	7,810	12%	32,874	29,005	13%	42,753	44,834	-5%	54,333	52,270	4%
Revenue	11,639	10,210	14%	44,024	38,793	13%	55,018	55,434	-1%	67,824	63,770	6%
Gross Profit	6,533	5,313	23%	24,370	20,253	20%	31,814	31,015	3%	39,649	36,099	10%
Gross margin	56.1%	52.0%	409bps	55.4%	52.2%	315bps	57.8%	56.0%	187bps	58.5%	56.6%	185bps
Adjusted EBIT	4,933	3,803	30%	18,054	14,246	27%	24,866	24,503	1%	31,898	28,832	11%
Adjusted EBIT margin	42.4%	37.2%	513bps	41.0%	36.7%	429bps	45.2%	44.2%	99bps	47.0%	45.2%	182bps
Adjusted Net Income	4,167	3,229	29%	15,314	12,181	26%	20,989	20,721	1%	26,844	24,339	10%
Adjusted EPS (€)	10.84	8.41	29%	39.82	31.68	26%	54.93	54.37	1%	70.73	64.43	10%

Source: J.P. Morgan estimates.

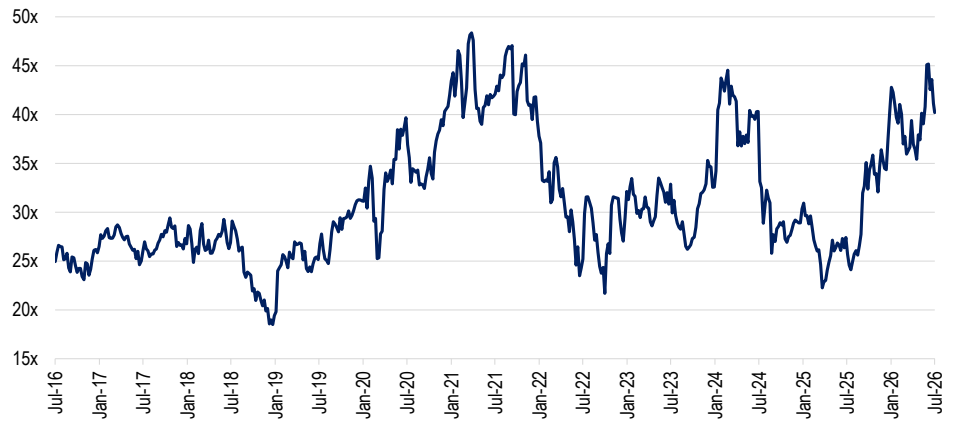
Valuation

Table 2: ASML 5Y trading range (P/E+1)



Source: Bloomberg Finance L.P.

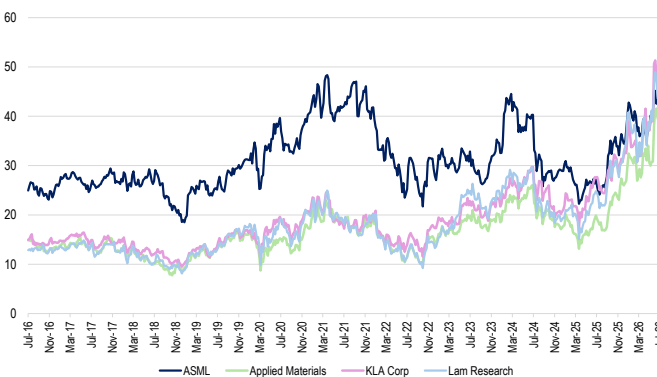
Figure 1: ASML historical valuation (P/E+1)



Source: Bloomberg Finance L.P.

ASML has traded between 28x and 38x in the past 5 years with an average multiple of 33x. US semicap peer valuations have strongly increased and they are now trading ~40% higher than their previous peak valuation in July 2024. ASML has however deteriorated. As a result, ASML's premium vs. US peers has now disappeared (now at 1% vs historical average of 84%). We value ASML based on a 29.7x multiple on our 28e EPS, a multiple that is below ASML's 5-year multiple (lower end of the trading range). Therefore, the new June '28 implied price target is €2,100. If we were to use the average past multiple to value the stock, it would take our price target to ~€2,333 or ~11% above our current target price.

Figure 2: ASML vs US peers historical valuation (P/E+1)



Source: Bloomberg Finance L.P.

Figure 3: ASML premium multiple vs US peers.



Source: Bloomberg Finance L.P., J.P. Morgan.

Financials

Table 3: ASML - Quarterly Bottom Up Revenue Model

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Units Shipped												
EUV ,new	11	8	11	12	14	10	8	12	14	15	17	18
Immersion, new	20	32	38	39	25	31	38	37	17	23	38	53
ArF dry	4	11	7	6	3	4	4	5	5	8	12	21
KrF	25	33	42	52	22	16	11	29	30	35	47	74
DUV	59	92	105	118	63	65	63	88	63	75	109	168
I-line	10	16	18	21	13	14	10	17	11	9	12	20
Total units	70	100	116	132	77	76	72	102	79	91	127	187
ASP on shipments												
EUV ,new	165.8	184.5	188.6	200.7	229.6	232.1	218.2	238.4	240.3	223.5	230.0	235.0
Immersion, new	77.3	74.4	74.9	74.8	75.8	77.6	76.0	82.0	85.0	82.8	83.0	84.0
ArF dry	29.7	30.3	25.4	23.7	38.3	28.0	27.8	30.3	25.1	32.8	28.5	32.0
KrF	12.7	13.0	14.1	12.3	13.0	14.0	15.1	13.1	12.6	11.3	13.5	15.0
DUV	34.3	35.2	35.6	32.6	37.4	43.0	51.1	41.4	31.9	35.0	38.4	37.7
I-line	4.0	6.0	6.6	6.8	4.4	4.0	5.6	4.5	5.7	7.3	4.7	5.0
Average ASP	55.0	47.1	50.1	51.8	72.3	72.2	74.1	71.4	77.9	70.0	66.8	58.6
Revenue by type												
EUV ,new	1,824.3	1,475.9	2,074.1	2,408.7	3,214.6	2,321.1	1,745.5	2,860.3	3,364.1	3,351.9	3,910.0	4,230.0
Immersion, new	1,546.7	2,380.5	2,844.5	2,917.5	1,894.3	2,406.3	2,888.1	3,033.6	1,444.2	1,903.8	3,154.0	4,452.0
ArF dry	119.0	333.3	177.8	142.3	114.8	111.9	111.1	151.7	125.6	262.6	342.0	672.0
KrF	317.3	428.5	592.6	640.4	287.0	223.8	166.6	379.2	376.7	393.9	636.1	1,110.0
DUV	2,022.6	3,237.4	3,733.4	3,842.6	2,353.6	2,798.0	3,221.3	3,640.3	2,009.3	2,625.9	4,188.5	6,334.0
I-line	39.7	95.2	118.5	142.3	57.4	56.0	55.5	75.8	62.8	65.6	56.4	100.0
Metrology & Inspection	119.0	47.6	118.5	284.6	172.2	111.9	222.2	303.4	125.6	196.9	250.0	380.0
Total product revenue	3,965.9	4,760.9	5,926.0	7,115.9	5,740.4	5,596.0	5,554.0	7,584.0	6,279.0	6,564.8	8,738.5	11,334.0
Service revenue	1,324.1	1,481.9	1,541.3	2,146.9	2,001.1	2,095.6	1,962.2	2,134.1	2,488.0	2,761.7	2,900.0	3,000.0
Total revenue	5,290.0	6,242.8	7,467.3	9,262.8	7,741.5	7,691.6	7,516.2	9,718.1	8,767.0	9,326.5	11,638.5	14,334.0

Source: Company reports and J.P. Morgan estimates.

Table 4: ASML - Yearly Bottom Up Revenue Model

Bottom up model (Annual)	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Units Shipped											
High NA EUV, new	0	0	0	0	0	0	2	4	5	6	10
EUV ,new	18	26	31	42	40	53	42	44	64	86	106
Immersion, new	86	82	68	81	81	125	129	131	131	170	211
ArF dry	16	22	22	22	28	32	28	16	46	69	80
KrF	78	65	103	131	151	184	152	78	186	191	212
DUV	206	203	227	267	305	396	374	279	415	510	588
I-line	26	34	34	33	45	55	65	54	52	80	85
Total units	224	229	258	309	345	449	418	327	484	602	704
ASP on shipments											
High NA EUV, new	0	0	0	0	0	0	0	377.5	390	400	410
EUV ,new	104.8	107.6	145.0	149.2	177.0	171.5	185.3	230.5	232.1	240.0	250.0
Immersion, new	56.0	57.5	57.5	61.7	64.6	72.5	75.1	78.0	83.6	80.0	80.0
ArF dry	17.8	17.8	17.8	19.9	22.2	24.0	27.6	30.6	30.5	29.0	29.0
KrF	11.2	10.5	10.2	9.9	11.2	11.9	13.0	13.5	13.5	13.5	13.5
DUV	29.4	29.2	24.2	25.8	25.3	30.9	34.3	43.1	36.5	36.5	38.3
I-line	3.2	4.1	4.0	4.1	3.9	4.0	6.1	4.5	5.5	5.5	5.5
Average ASP	35.4	38.1	38.7	42.5	42.9	47.5	50.7	72.4	66.0	69.2	75.5
Revenue by type											
High NA EUV, new	0	0	0	0	0	0	580	1,510	1,950	2,400	4,100
EUV ,new	1,886	2,797	4,494	6,267	7,079	9,090	7,783	10,142	14,856	20,640	26,500
Immersion, new	4,812	4,711	3,913	5,001	5,232	9,057	9,689	10,222	10,954	13,600	16,880
ArF dry	285	393	392	437	620	769	772	489	1,402	2,001	2,320
KrF	872	683	1,049	1,303	1,684	2,198	1,979	1,057	2,517	2,579	2,862
DUV	6,051	5,925	5,489	6,878	7,714	12,243	12,836	12,013	15,158	18,618	22,528
I-line	83	138	135	137	177	219	396	245	285	438	466
Metrology & Inspection	321	288	334	508	638	606	570	810	953	1,095	1,205
Total product revenue	8,259	9,010	10,317	13,653	15,431	21,939	21,769	24,474	32,916	42,753	54,333
Service revenue	2,685	2,824	3,662	4,958	5,743	5,620	6,494	8,193	11,150	12,265	13,491
Total revenue	10,944	11,834	13,978	18,611	21,174	27,559	28,263	32,667	44,066	55,018	67,824
Change vs. Year Ago		8.1%	18.1%	33.1%	13.8%	30.2%	2.6%	15.6%	34.9%	24.9%	23.3%

Source: Company reports and J.P. Morgan estimates.

Table 5: ASML - Quarterly P&L

€m	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Revenues	5,290.0	6,242.8	7,467.3	9,262.8	7,741.5	7,691.6	7,516.2	9,718.1	8,767.0	9,326.5	11,638.5	14,334.0
Sequential Change	-26.9%	18.0%	19.6%	24.0%	-16.4%	-0.6%	-2.3%	29.3%	-9.8%	6.4%	24.8%	23.2%
Change vs Year Ago	-21.6%	-9.6%	11.9%	28.0%	46.3%	23.2%	0.7%	4.9%	13.2%	21.3%	54.8%	47.5%
Cost of Goods	2,593.4	3,030.6	3,673.9	4,473.0	3,561.8	3,562.1	3,635.9	4,649.5	4,122.0	4,291.1	5,105.7	6,151.5
Gross profit including Intel R&D payment	2,696.6	3,212.2	3,793.4	4,789.8	4,179.7	4,129.5	3,880.3	5,068.6	4,645.0	5,035.4	6,532.8	8,182.5
Margin	51.0%	51.5%	50.8%	51.7%	54.0%	53.7%	51.6%	52.2%	53.0%	54.0%	56.1%	57.1%
R&D	1,031.9	1,100.6	1,055.2	1,116.0	1,161.1	1,166.7	1,108.7	1,262.3	1,184.9	1,276.6	1,200.0	1,250.0
Percent of Revenues	19.5%	17.6%	14.1%	12.0%	15.0%	15.2%	14.8%	13.0%	13.5%	13.7%	10.3%	8.7%
SG&A	273.3	277.0	297.0	318.4	280.7	298.7	303.2	375.2	302.3	302.7	400.0	400.0
Percent of Revenues	5.2%	4.4%	4.0%	3.4%	3.6%	3.9%	4.0%	3.9%	3.4%	3.2%	3.4%	2.8%
Other income	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Operating Income	1,391.4	1,834.6	2,441.2	3,355.4	2,737.9	2,664.1	2,468.4	3,431.1	3,157.8	3,456.1	4,932.8	6,532.5
Percent of Revenues	26.3%	29.4%	32.7%	36.2%	35.4%	34.6%	32.8%	35.3%	36.0%	37.1%	42.4%	45.6%
Profit Before Taxes	1,417.6	1,822.7	2,440.4	3,361.7	2,787.1	2,688.9	2,487.8	3,442.3	3,198.7	3,486.1	4,947.8	6,547.5
Taxes	224.0	291.6	441.2	723.8	465.1	487.4	442.2	618.7	546.6	609.6	841.1	1,113.1
Tax Rate	15.8%	16.0%	18.1%	21.5%	16.7%	18.1%	17.8%	18.0%	17.1%	17.5%	17.0%	17.0%
Total Net Income	1,223.8	1,577.9	2,076.5	2,693.4	2,355.0	2,290.3	2,124.5	2,839.6	2,756.7	2,917.6	4,166.7	5,494.5
Percent of Revenues	23.1%	25.3%	27.8%	29.1%	30.4%	29.8%	28.3%	29.2%	31.4%	31.3%	35.8%	38.3%
Clean Diluted EPS	3.11	4.01	5.28	6.84	6.00	5.90	5.48	7.34	7.15	7.58	10.84	14.32
Common & Equiv Sh (Mil) fully diluted	393.7	393.5	393.2	393.6	392.5	388.4	387.6	387.0	385.7	384.9	384.3	383.7

Source: Company reports and J.P. Morgan estimates.

Table 6: ASML - Annual P&L

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenues	10,944	11,834	13,978	18,611	21,174	27,559	28,263	32,667	44,066	55,018	67,824
Change vs Year Ago	20.9%	8.1%	18.1%	33.1%	13.8%	30.2%	2.6%	15.6%	34.9%	24.9%	23.3%
Cost of Goods	5,914.8	6,554.3	7,181.4	8,802	10,473	13,422	13,771	15,409	19,670	23,204	28,174
Gross Profit	5,029.2	5,279.7	6,797.1	9,809	10,700	14,136	14,492	17,258	24,396	31,814	39,649
Gross Margin	46.0%	44.6%	48.6%	52.7%	50.5%	51.3%	51.3%	52.8%	55.4%	57.8%	58.5%
 R&D	 1,575.9	 1,968.5	 2,200.8	 2,547	 3,254	 3,981	 4,304	 4,699	 4,912	 5,403	 6,051
Percent of Revenues	14.4%	16.6%	15.7%	13.7%	15.4%	14.4%	15.6%	15.6%	11.1%	9.8%	8.9%
SG&A	488.0	520.6	544.9	726	946	1,113	1,166	1,258	1,405	1,546	1,700
Percent of Revenues	4.5%	4.4%	3.9%	3.9%	4.5%	4.0%	4.1%	3.9%	3.2%	2.8%	2.5%
Other income	0.0	0.0	0.0	214	0	0	0	0	0	0	0
Operating Income	2,965.3	2,790.6	4,051.4	6,750	6,501	9,042	9,023	11,302	18,079	24,866	31,898
Operating Margin	27.1%	23.6%	29.0%	36.3%	30.7%	32.8%	31.9%	34.6%	41.0%	45.2%	47.0%
 Profit Before Taxes	 2,937.0	 2,765.6	 4,016.5	 6,705	 6,456	 9,084	 9,042	 11,406	 18,180	 24,967	 31,999
Taxes	351.6	191.6	551.6	1,021	970	1,436	1,681	2,013	3,110	4,271	5,475
Tax Rate	12.0%	6.9%	13.7%	15.2%	15.0%	15.8%	18.6%	17.7%	17.1%	17.1%	17.1%
 Total Net Income	 2,591.6	 2,592.2	 3,553.6	 5,883	 5,624	 7,839	 7,572	 9,609	 15,335	 20,986	 26,840
Net Margin	23.7%	21.9%	25.4%	31.6%	26.6%	28.4%	26.8%	29.4%	34.8%	38.1%	39.6%
 Clean Diluted EPS	 6.08	 6.15	 8.48	 14.3	 14.1	 19.9	 19.2	 24.7	 39.9	 54.9	 70.7
Common & Equiv Sh (Mil) fully diluted	426.5	421.8	419.1	410	398	394	394	389	385	382	380

Source: Company reports and J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

ASML (*Overweight; Price Target: €2,100.00*)

Investment Thesis

ASML is the sole supplier of EUV tools and its market share in the lithography segment should exceed 80-89% (seen in the last decade) driven by higher EUV ASP. The shift to High-NA that should start in '27 should help litho intensity improve as should greater EUV adoption in DRAM. The industry environment has changed significantly in recent quarters with a significant increase in DRAM prices. ASML, with its exposure to all the major memory companies, should be a significant beneficiary of a memory up-cycle.

Valuation

Our ASML target price is €2,100 (\$2,400) which is equivalent to 29.6x our '28 EPS. ASML has historically traded at 28-38x forward earnings in the last five years (interquartile range) and at an average multiple of 33x. Our multiple is thus at the lower end of ASML's trading range indicating that the target price is earnings and not multiple driven, and to reflect that we are factoring in that this is an up-cycle price target.

Risks to Rating and Price Target

We believe the key risks that could prevent the stock from achieving our price target are: 1) export restrictions on tools to key geographies, such as China; and 2) an economic downturn, which would jeopardise our earnings estimates and PT. Further, lower-than-expected EUV adoption could imply downside to our estimates. Continuing increase in interest rates would also be negative to the multiple used and, thus, negative to our target price.

Investment Thesis, Valuation and Risks

ASML ADR (*Overweight; Price Target: \$2,400.00*)

Investment Thesis

ASML is the sole supplier of EUV tools and its market share in the lithography segment should exceed 80-89% (seen in the last decade) driven by higher EUV ASP. The shift to High-NA that should start in '27 should help litho intensity improve, as should greater EUV adoption in DRAM. The industry environment has changed significantly in recent quarters with a significant increase in DRAM prices. ASML, with its exposure to all the major memory companies, should be a significant beneficiary of a memory up-cycle.

Valuation

Our ASML ADR target price is \$2,400 (\$2,200) which is equivalent to 29.4x our '28 EPS. ASML has historically traded at 28-38x forward earnings in the last five years (interquartile range) and at an average multiple of 33x. Our multiple is thus at the lower end of ASML's trading range indicating that the target price is earnings and not multiple driven, and to reflect that we are factoring in that this is an up-cycle price target.

Risks to Rating and Price Target

We believe the key risks that could prevent the stock from achieving our price target are: 1) export restrictions on tools to key geographies such as China; and 2) an economic downturn, which would jeopardise our earnings estimates and PT. Further, lower-than-expected EUV adoption could imply downside to our estimates. Continuing increase in interest rates would also be negative to the multiple used and, thus, negative to our target price.

ASML: Summary of Financials

Income Statement					Cash Flow Statement				
	FY25A	FY26E	FY27E	FY28E		FY25A	FY26E	FY27E	FY28E
Revenue	32,667	44,066	55,018	67,824	Cash flow from operating activities	12,659	12,416	25,363	29,512
COGS	(15,409)	(19,670)	(23,204)	(28,174)	o/w Depreciation & amortization	1,026	1,016	1,026	1,126
Gross profit	17,258	24,396	31,814	39,649	o/w Changes in working capital	1,027	(3,925)	3,642	1,862
SG&A	(1,258)	(1,405)	(1,546)	(1,700)	Cash flow from investing activities	(3,778)	(2,254)	(1,648)	(1,798)
Adj. EBITDA	12,328	19,096	25,896	33,030	o/w Capital expenditure	(1,631)	(1,648)	(1,648)	(1,798)
D&A	(1,026)	(1,016)	(1,026)	(1,126)	as % of sales	5.0%	3.7%	3.0%	2.7%
Adj. EBIT	11,302	18,079	24,870	31,903	Cash flow from financing activities	(8,671)	(7,754)	(8,040)	(8,432)
Net Interest	-	-	-	-	o/w Dividends paid	(2,550)	(3,056)	(3,269)	(3,662)
Adj. PBT	11,406	18,180	24,975	32,009	o/w Shares issued/(repurchased)	(5,808)	(4,006)	(4,078)	(4,078)
Tax	(2,013)	(3,110)	(4,271)	(5,475)	o/w Net debt issued/(repaid)	(1,067)	(693)	(693)	(693)
Minority Interest	0	0	0	0	Net change in cash	180	2,415	15,675	19,282
Adj. Net Income	9,609	15,335	20,990	26,845	Adj. Free cash flow to firm	11,027	10,768	23,715	27,714
Reported EPS	24.71	39.87	54.92	70.72	y/y Growth	21.4%	(2.4%)	120.2%	16.9%
Adj. EPS	24.71	39.87	54.94	70.73					
DPS	7.50	8.50	9.35	10.29					
Payout ratio	30.4%	21.3%	17.0%	14.5%					
Shares outstanding	389	385	382	380					
Balance Sheet					Ratio Analysis				
	FY25A	FY26E	FY27E	FY28E		FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	12,916	15,330	31,005	50,287	Gross margin	52.8%	55.4%	57.8%	58.5%
Accounts receivable	3,023	7,854	9,798	12,078	EBITDA margin	37.7%	43.3%	47.1%	48.7%
Inventories	11,429	14,913	16,574	20,125	EBIT margin	34.6%	41.0%	45.2%	47.0%
Other current assets	3,248	9,510	10,813	13,118	Net profit margin	29.4%	34.8%	38.2%	39.6%
Current assets	30,616	47,607	68,190	95,608	ROE	50.5%	64.3%	60.1%	52.4%
PP&E	7,894	8,146	8,768	9,440	ROA	19.4%	25.7%	26.4%	25.7%
LT investments	-	-	-	-	ROCE	41.9%	57.2%	56.4%	50.6%
Other non current assets	12,057	12,970	13,261	13,576	SG&A/Sales	3.9%	3.2%	2.8%	2.5%
Total assets	50,567	68,723	90,218	118,624	Net debt/Equity	NM	NM	NM	NM
Short term borrowings	0	0	0	0	Net debt/EBITDA	NM	NM	NM	NM
Payables	-	-	-	-	Sales/Assets (x)	0.7	0.7	0.7	0.6
Other short term liabilities	24,264	34,402	42,951	52,949	Assets/Equity (x)	2.6	2.5	2.3	2.0
Current liabilities	24,264	34,402	42,951	52,949	Interest cover (x)	-	-	-	-
Long-term debt	2,709	1,984	1,291	598	Operating leverage	162.1%	171.9%	151.1%	121.5%
Other long term liabilities	3,982	4,250	4,250	4,250	Tax rate	17.7%	17.1%	17.1%	17.1%
Total liabilities	30,954	40,636	48,493	57,797	Revenue y/y Growth	15.6%	34.9%	24.9%	23.3%
Shareholders' equity	19,612	28,087	41,725	60,826	EBITDA y/y Growth	24.0%	54.9%	35.6%	27.5%
Minority interests	-	-	-	-	EPS y/y Growth	28.4%	61.3%	37.8%	28.8%
Total liabilities & equity	50,567	68,723	90,218	118,624	Valuation				
BVPS	50.43	73.02	109.21	160.27		FY25A	FY26E	FY27E	FY28E
y/y Growth	7.4%	44.8%	49.6%	46.8%	P/E (x)	62.5	38.7	28.1	21.8
Net debt/(cash)	(10,613)	(14,256)	(30,624)	(50,599)	P/BV (x)	30.6	21.1	14.1	9.6
					EV/EBITDA (x)	47.8	30.6	22.0	16.6
					Dividend Yield	0.5%	0.6%	0.6%	0.7%

Source: Company reports and J.P. Morgan estimates.

Note: € in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

ASML ADR: Summary of Financials

Income Statement	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
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Net Interest	-	-	-	-	o/w Dividends paid	(2,550)	(3,056)	(3,269)	(3,662)
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Tax	(2,013)	(3,110)	(4,271)	(5,475)	o/w Net debt issued/(repaid)	(1,067)	(693)	(693)	(693)
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Payout ratio	30.4%	21.3%	17.0%	14.5%					
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BVPS	50.43	73.02	109.21	160.27	P/BV (x)	31.5	21.8	14.6	9.9
y/y Growth	7.4%	44.8%	49.6%	46.8%	EV/EBITDA (x)	55.0	35.3	25.4	19.3
Net debt/(cash)	(10,613)	(14,256)	(30,624)	(50,599)	Dividend Yield	0.5%	0.5%	0.6%	0.6%

Source: Company reports and J.P. Morgan estimates.

Note: € in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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ASML (ASML.AS, ASML NA) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 11, 2001. All share prices are as of market close on the previous business day.

ASML ADR (ASML, ASML US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 19, 2012. All share prices are as of market close on the previous business day.

Date	Rating	Price (€)	Price Target (€)
30-Nov-23	OW	629.20	800
30-Jan-24	OW	804.80	950
05-Apr-24	OW	901.30	1,100
16-Oct-24	OW	668.10	1,057
17-Apr-25	OW	574.00	970
17-Jul-25	OW	625.80	822
06-Oct-25	OW	880.10	1,000
01-Dec-25	OW	904.70	1,100
14-Jan-26	OW	1102.60	1,300
29-Jan-26	OW	1194.40	1,515
03-Jun-26	OW	1461.80	1,900

Date	Rating	Price (\$)	Price Target (\$)
20-Jul-23	OW	715.78	772
11-Oct-23	OW	602.15	732
19-Oct-23	OW	583.25	726
30-Nov-23	OW	687.61	878
25-Jan-24	OW	847.31	872
30-Jan-24	OW	882.62	1,026
05-Apr-24	OW	953.41	1,196
18-Apr-24	OW	907.61	1,172
18-Jul-24	OW	932.06	1,202
09-Oct-24	OW	824.26	1,207
16-Oct-24	OW	730.43	1,148
30-Jan-25	OW	712.65	1,100
17-Apr-25	OW	634.93	1,104
17-Jul-25	OW	754.45	957
06-Oct-25	OW	1032.22	1,175
01-Dec-25	OW	1060.00	1,275
14-Jan-26	OW	1270.16	1,518
29-Jan-26	OW	1422.92	1,813
03-Jun-26	OW	1705.37	2,200

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

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